

Procure Space ETF

SPCX NASDAQ

Hold	\$135.00 ▼ 1.44%	12M Price Target \$155.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.78T
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SPCX: Space ETF Consolidates as SpaceX Valuation Debate Heats Up

WHAT HAPPENED

- SPCX is basically flat overnight (-1.4%) after a rough week — it's down roughly 6% from last Tuesday. The main drag: semiconductor stocks are dragging the whole Nasdaq lower (chips are heavily used in satellites and space hardware, so when chips sneeze, space catches a cold).
- GuruFocus dropped a piece this morning called "SpaceX's Valuation Divide Is Getting Hard to Ignore" — this matters because SPCX holds space-adjacent public names, and any repricing of the private space leader (SpaceX at ~\$400B) sets the tone for the whole sector's multiples.

WHY IT MATTERS

Here's what I think is really going on: SPCX sits at only 25% of its 52-week range, meaning it's much closer to the yearly low (\$105) than the high (\$226). That's a big drawdown from the highs, and it tells me the market already priced in some Golden Dome/defense enthusiasm and is now digesting whether the follow-through spending actually shows up. The bearish options flow (that \$200 strike put buying for August expiry) suggests some traders are betting the bounce fails short-term — but the aggressive \$135 call buying at 2.3x open interest means someone thinks we're near a floor. Net-net: this feels like a stock waiting for a catalyst — either the FY2027 defense appropriations bill clarity or a big commercial launch contract — before it picks a direction.

POLICY & POLITICAL WATCH

The big policy story for space right now is the Trump administration's "Golden Dome" missile defense initiative — a Reagan-era Star Wars concept revived, requiring hundreds of new satellites and ground systems. Congress is actively debating funding levels in the FY2027 defense authorization, with the Space Force budget potentially topping \$40B (vs ~\$29B a couple years ago). If that passes intact, SPCX holdings like Rocket Lab, Iridium, and defense-space contractors get a multi-year revenue runway; if it gets slashed in reconciliation, this stock has more downside. Also watch FCC spectrum policy — satellite broadband players need spectrum wins to compete with Starlink.

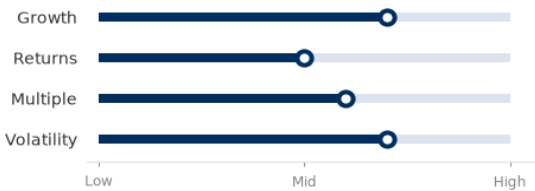
IS IT EXPENSIVE?

SPCX is an ETF, so traditional P/E and EV/EBITDA don't quite apply — you're really buying a basket where the underlying holdings trade at wildly different multiples (Rocket Lab at 30x sales, mature comms sats at 2x sales). Being at 25% of the 52-week range means the ETF's implied "sector multiple" has compressed meaningfully — investors are paying about 40% less per dollar of space exposure than they were at the highs. That's not screaming cheap, but it's reasonable if you believe defense space spending accelerates from here.

Key Data

Price (USD)	\$135.00
12M Price Target	\$155.00
Upside / (Downside)	+14.8%
Market Cap	\$1.78T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$138.00	\$125.00
6 Months	\$165.00	\$150.00	\$120.00
1 Year	\$190.00	\$155.00	\$110.00
2 Years	\$240.00	\$185.00	\$100.00
5 Years	\$350.00	\$250.00	\$90.00
10 Years	\$550.00	\$380.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+1.7%) and Financials (+1.3%) leading — that's a defensive rotation, meaning money is moving to safer, boring stuff. Not a great backdrop for high-beta space names.

COOLING OFF: Semiconductors dragging the tape today — since satellites are essentially chips in space, this is a direct headwind for SPCX holdings.

ROTATION WATCH: The staples/financials leadership tells me investors are de-risking ahead of Jackson Hole aftermath and end-of-summer positioning. Risk-on sectors like space need a catalyst to break out of this consolidation.

RELATED PLAY: If Golden Dome funding gets green-lit, the ground infrastructure names (data centers, radar systems, cybersecurity for satellite networks) get a second-order boost — think Palantir on the software side and Leidos on the systems integration side.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning on launch cadence and the Neutron rocket program — becoming the credible #2 to SpaceX.
- LMT (Lockheed Martin): Defense giant with major Space Force contracts — benefits directly from Golden Dome regardless of which subcontractor wins.

SPCX CONTEXT: SPCX is lagging its pure-play holdings because the ETF includes some mature, slower-growing satellite comms names that are weighing on returns. If you have high conviction on specific space plays, individual names outperform; SPCX is the "I want the theme without picking winners" trade.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space thesis but the near-term setup is murky with defensive rotation happening and chips weak.

POSITION SIZE: 2-4% of portfolio — this is a thematic ETF, not a core holding. Enough to matter if space rips, not enough to hurt if the theme cools.

ENTRY POINTS: I'd scale in around \$125-130 on macro fear days. Full-size add only if we retest the \$110-115 lows with the defense bill still on track.

TIME HORIZON: 18-36 months — you're waiting for the defense spending cycle to fully flow through and potentially for a Starlink IPO to bring space back into the spotlight.

WHEN TO BAIL: If Golden Dome funding gets gutted in reconciliation, or if we break below \$105 on high volume (that's a technical breakdown), the thesis is broken.

HEDGING: Simplest hedge is just keeping some dry powder — don't go max size here. If you want to get fancier, pair this with a small position in a defensive ETF like consumer staples so when risk-off days hit, one leg cushions the other.